

Notes: Gil-Bazo, Hoffmann, and Mayordomo (RFS, 2020)

Mutual Funding

Contents

1	Big picture	3
2	Data and measurement	3
2.1	Why Spain is a useful laboratory	3
2.2	Mutual fund and bond data	3
2.3	Primary versus secondary market and stress measures	4
3	Models and empirical specifications	4
3.1	Baseline primary-market purchase regression	4
3.2	Stress interaction regression	4
3.3	AMG-level aggregation	4
3.4	Extensive and intensive margins	5
3.5	Secondary-market test and abnormal returns	5
3.6	Flow-performance and credit-supply regressions	5
4	Identification and empirical design	5
5	Tables and figures	6
5.1	Tables 1–2: sample construction and summary statistics	6
5.2	Table 3 + Figure 1: primary-market mutual funding	6
5.3	Tables 4–5: AMG-level magnitude and support margin	7
5.4	Tables 6–8: security type, secondary market, and investor cost	7
5.5	Tables 9–11: fund allocation and credit supply	8
6	Short summary	9
7	Conclusion	9
7.1	Core conclusion	9
7.2	Economic intuition	9

7.3	Takeaway	10
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1 Big picture

- **Question.** Do bank-affiliated mutual funds provide funding support to their parent banks, especially when banks face stress?
- **Core conflict of interest.** A bank controls an asset management company. The bank can benefit if affiliated mutual funds buy its debt, but fund investors may bear losses if the debt is overpriced or poorly performing.
- **Setting.** Spain from 2000:Q1 to 2012:Q2, where banks dominate mutual fund management, related-party trades are not prohibited, and the post-Lehman period created severe bank funding pressure.
- **Main result.** Bank-affiliated funds buy more of their parent banks' bond issues in the primary market than otherwise similar nonaffiliated funds.
- **Crisis result.** The excess purchase is much larger after Lehman and for banks with higher Eurosystem borrowing, higher nonperforming loan ratios, and recent credit-rating downgrades.
- **Economic magnitude.** Aggregating across funds in the same asset management group, excess purchases of parent bank debt equal 2.85% of total issuance over the full sample, or about 14.4 billion EUR. In crisis times, support is about 7% of issuance, or 11.9 billion EUR.
- **Investor cost.** Bonds bought by affiliated funds in the primary market have lower abnormal returns after issuance, indicating overpricing and a transfer from fund investors to banks.
- **Strategic allocation.** Banks concentrate the burden in retail funds and funds without performance fees, where poor performance is less costly to the asset-management business.
- **Credit supply.** Funding support is associated with higher credit growth to nonfinancial firms during 2008:Q4–2012:Q2.
- **Takeaway.** Mutual funds inside financial conglomerates can serve as hidden funding channels for parent banks. This can stabilize banks in crises, but it transfers value from fund investors to banks.

2 Data and measurement

2.1 Why Spain is a useful laboratory

- Spanish banks controlled a large share of the mutual fund industry.
- Spain experienced a severe banking crisis after Lehman, with a real estate bust and sovereign-debt stress.
- Spanish regulation did not ban related-party transactions involving mutual funds; it relied more on general fiduciary duties and diversification limits.
- This combination creates both the ability and the incentive for banks to use affiliated funds as a source of funding.

Interpretation. Spain lets the authors observe a conflict of interest that is usually dormant. The conflict becomes valuable only when conventional funding markets are impaired.

2.2 Mutual fund and bond data

- Mutual fund data come from CNMV and cover the universe of Spanish mutual funds quarterly from 2000:Q1 to 2012:Q2.
- The data include holdings, fund characteristics, fees, style, number of investors, and net asset value.

- Bond issuance data come from Dealogic and focus on EUR-denominated securities issued by Spanish financial institutions.
- The final bond sample contains 504 issues, corresponding to 468 securities, from 28 Spanish financial institutions.
- The final fund sample contains 1,875 funds and 62,629 fund-quarter observations.

Interpretation. The key advantage is the ability to observe both fund holdings and the bank-fund ownership link.

2.3 Primary versus secondary market and stress measures

- Purchases in the quarter of issuance are classified as primary-market purchases.
- Trades in other quarters are attributed to the secondary market.
- Stress measures are the post-Lehman dummy, Eurosystem borrowing over total assets, NPL ratio, and credit-rating downgrades.

Interpretation. The outcomes cover whether mutual funding exists, whether it hurts fund investors, and whether it helps banks supply credit.

3 Models and empirical specifications

3.1 Baseline primary-market purchase regression

$$\frac{P_{f,i,t}}{ISSUANCE_{i,t}} = \alpha_{AMG} + \alpha_s + \alpha_t + \beta_1 AFF_{f,i,t} + \delta X_{f,i,t} + \varepsilon_{f,i,t}. \quad (1)$$

Interpretation. With AMG fixed effects, β_1 compares funds inside the same asset-management group when they buy affiliated versus nonaffiliated bank bonds.

3.2 Stress interaction regression

$$\frac{P_{f,i,t}}{ISSUANCE_{i,t}} = \alpha_{AMG} + \alpha_s + \alpha_t + \beta_1 AFF_{f,i,t} + \beta_2 AFF_{f,i,t} \times STRESS_{i,t} + \beta_3 STRESS_{i,t} + \delta X_{f,i,t} + \varepsilon_{f,i,t}. \quad (2)$$

Interpretation. If the conflict is used strategically, affiliated funds should buy more parent debt exactly when the parent bank is stressed.

3.3 AMG-level aggregation

$$\frac{P_{g,i,t}}{ISSUANCE_{i,t}} = \alpha_{AMG} + \alpha_s + \alpha_t + \beta_1 AFF_{g,i,t} + \delta X_{g,i,t} + \varepsilon_{g,i,t}. \quad (3)$$

Interpretation. This specification delivers the economic magnitude of mutual funding because banks care about aggregate support from the whole affiliated fund family.

3.4 Extensive and intensive margins

$$D_{f,i,t} = \alpha_{AMG} + \alpha_s + \alpha_t + \beta_1 AFF_{f,i,t} + \beta_2 AFF_{f,i,t} \times POST_t + \delta X_{f,i,t} + \varepsilon_{f,i,t}. \quad (4)$$

$$\frac{P_{f,i,t} \mid P_{f,i,t} > 0}{ISSUANCE_{i,t}} = \alpha_{AMG} + \alpha_s + \alpha_t + \beta_1 AFF_{f,i,t} + \beta_2 AFF_{f,i,t} \times POST_t + \delta X_{f,i,t} + \varepsilon_{f,i,t}. \quad (5)$$

Interpretation. The distinction tells whether mutual funding occurs because more affiliated funds participate or because participating funds buy larger quantities.

3.5 Secondary-market test and abnormal returns

$$\frac{\Delta H_{f,b,t}}{OUTS_{b,t}} = \alpha_{AMG} + \alpha_s + \alpha_t + \beta_1 AFF_{f,b,t} + \beta_2 AFF_{f,b,t} \times STRESS_{b,t} + \beta_3 STRESS_{b,t} + \delta X_{f,b,t} + \varepsilon_{f,b,t}. \quad (6)$$

$$AR_{i,b,t} = \mu_b + \mu_1 AFF_PURCHASE_{i,b,t} + \mu_2 POST_t + \mu_3 POST_t \times AFF_PURCHASE_{i,b,t} + \zeta_{i,b,t}. \quad (7)$$

Interpretation. Negative abnormal returns for bonds with affiliated participation imply that affiliated funds paid too much or accepted too low a yield.

3.6 Flow-performance and credit-supply regressions

$$\frac{FLOW_{f,t}}{AUM_{f,t-1}} = \theta_{AMG} + \theta_s + \theta_t + \theta_1 PERF_{f,t-1} + \theta_2 PERF_{f,t-1} \times RETAIL_f + \theta_3 RETAIL_f + \theta_4 X_{f,t-1} + \xi_{f,t}. \quad (8)$$

$$\log(1 + Credit_{c,b,2012Q2}) - \log(1 + Credit_{c,b,2008Q4}) = \lambda_c + \lambda_1 AP_b + \lambda_2 X_b + \nu_{c,b}. \quad (9)$$

Interpretation. Retail flow sensitivity and performance-fee tests reveal how banks choose which funds bear the conflict. Firm fixed effects in the credit equation compare different banks lending to the same borrower.

4 Identification and empirical design

- The main comparison is between affiliated and nonaffiliated fund purchases of the same bank-bond issuance universe.
- AMG fixed effects compare behavior within an asset-management group; investment-style fixed effects compare funds with similar mandates.
- The post-Lehman dummy captures a period when the benefit of affiliated funding rises sharply.
- Bank-specific stress measures show that support is stronger for riskier, more funding-constrained banks.
- Abnormal returns rule out the benign explanation that affiliated funds simply obtain underpriced bonds.
- Allocation to retail funds and funds without performance fees suggests strategic placement of the conflict where it is less costly to the bank group.

Interpretation. The evidence is strongest for the existence and cost of primary-market funding support; it is more cautious about real credit-supply consequences.

5 Tables and figures

5.1 Tables 1–2: sample construction and summary statistics

Read:

- Table 1 shows that the sample contains 28 bond-issuing banks and large bank-affiliated asset-management operations.
- Table 2 shows the average fund has 112 million EUR in AUM and the retail indicator averages 58.83%.
- The average NPL ratio is 2.46%, but bank stress varies substantially across institutions and time.

Economic message. The sample is large enough to compare many affiliated and nonaffiliated funds, while Spanish banks’ control of fund families makes the conflict economically relevant.

Table 1
Descriptive statistics for funds and bond issuance activity

A. Bond issuance and asset management operations for sample banks (N = 28)

Variable	Mean	SD	Min	Max
Number of bonds issued	18	25	1	108
Average amount (Mio. EUR)	556.7	443.4	89.0	1,538.1
Average AUM (Bln. EUR)	3.9	7.4	0.1	30.7
Average number of funds	25.2	26.4	4.0	112.5

B. Distribution of mutual fund affiliations

Affiliation	Avg. # funds	Avg. AUM (Bln EUR)
Sample banks	685.7	107.1
Other domestic banks	199.4	9.5
Domestic nonbanks	176.0	8.7
Foreign (banks and nonbanks)	157.6	9.9
Total	1,218.7	135.2

Panel A of this table provides an overview of the issuance activity and the scope of the asset management operations across the 28 bond-issuing financial institutions (“sample banks”) with control over at least one asset management firm. All numbers are based on the cross-section of individual time-series averages. Panel B provides a breakdown of our sample of mutual funds into four different groups of affiliation: the 28 bond issuers (“sample banks”), other domestic banks, domestic nonbanks, and foreign institutions (both banks and nonbanks).

Table 1: bond issuance and fund affiliation.

Summary statistics for mutual fund and bank characteristics

A. Fund characteristics

	Mean	Median	SD	P5	P95
FUND_AUM (€000,000)	112.00	31.70	307.00	4.20	528.00
AMG_AUM (€000,000)	7,740.00	2,360.00	11,600.00	122.00	43,600.00
RET (%)	0.39	0.50	2.84	−3.58	4.20
FEES (%)	1.44	1.43	0.62	0.30	2.66
FLOW/AUM (%)	−0.29	−1.78	20.42	−21.13	27.52
RETAIL (%)	58.83	100.00	49.23	0	100
FUND_RET_VOLA (%)	1.68	0.99	2.09	0.06	5.78
TURNOVER (%)	19.53	11.18	32.42	0.86	75.91
AGE (# quarters)	26.52	22.25	18.32	4.22	74.24
GUARANTEED (%)	39.08	—	—	—	—
OTHER (%)	10.81	—	—	—	—
FIXED_INCOME (%)	31.55	—	—	—	—
HYBRID (%)	18.56	—	—	—	—

B. Bank characteristics

	Mean	Median	SD	P5	P95
NPL (%)	2.46	1.06	2.48	0.37	7.12
Δ RATING (one unit per notch)	0.17	0.00	0.61	−1.00	5.50

Table 2: fund and bank summary statistics.

5.2 Table 3 + Figure 1: primary-market mutual funding

Read:

- The affiliated-fund coefficient is positive in the baseline.
- The post-Lehman interaction is large and significant.
- Figure 1 shows that excess affiliated participation is near zero before Lehman and rises after Lehman.

Economic message. Affiliated funds buy more parent-bank debt precisely when the parent bank is under stress.

Table 3
Funding support in the primary market

	(1)	(2)	(3)	(4)	(5)	(6)
	Full sample		Issuer-affiliated funds only			
		Post-Lehman	Post-Lehman	Eurosystem borrowing	NPL ratio	Rating change
<i>AFF</i>	0.0418** (0.019)	−0.0018 (0.002)	0.0013 (0.002)	0.0437** (0.018)	0.0010 (0.008)	0.0399** (0.019)
<i>AFF</i> × <i>STRESS</i>		0.0952*** (0.034)	0.0878** (0.036)	0.0274** (0.012)	0.0166** (0.008)	0.0386* (0.023)
<i>STRESS</i>				−0.0006 (0.001)	−0.0043*** (0.002)	0.0004 (0.003)
<i>LOG_FUND_AUM</i>	0.0093*** (0.002)	0.0094*** (0.002)	0.0108*** (0.003)	0.0115*** (0.003)	0.0109*** (0.003)	0.0108*** (0.003)
<i>LOG_AMG_AUM</i>	−0.0072* (0.004)	−0.0029 (0.002)	−0.0033 (0.005)	−0.0090 (0.006)	−0.0067 (0.006)	−0.0112 (0.007)
<i>LAG_RET</i>	0.0001 (0.000)	0.0001 (0.000)	0.0001 (0.001)	0.0000 (0.001)	0.0001 (0.001)	0.0001 (0.001)
<i>FLOW/AUM</i>	0.0095 (0.009)	0.0092 (0.009)	0.0133 (0.021)	0.0144 (0.022)	0.0130 (0.021)	0.0138 (0.021)
<i>FEES</i>	0.0003 (0.001)	0.0001 (0.001)	−0.0002 (0.002)	−0.0002 (0.002)	−0.0001 (0.002)	−0.0001 (0.002)
<i>RETAIL</i>	−0.0034 (0.003)	−0.0034 (0.003)	−0.0036 (0.005)	−0.0039 (0.005)	−0.0036 (0.005)	−0.0037 (0.005)
<i>LOG_ISSUANCE</i>	−0.0084** (0.003)	−0.0085** (0.003)	−0.0113*** (0.004)	−0.0113*** (0.004)	−0.0114*** (0.004)	−0.0111*** (0.004)
<i>MATURITY</i>	−0.0001 (0.000)	−0.0002 (0.000)	−0.0007* (0.000)	−0.0008* (0.000)	−0.0007* (0.000)	−0.0007* (0.000)
<i>SECURED</i>	0.0070 (0.005)	0.0072 (0.005)	0.0142** (0.006)	0.0132** (0.006)	0.0148** (0.007)	0.0137** (0.006)
<i>CALLABLE</i>	0.0039 (0.005)	0.0043 (0.005)	−0.0020 (0.005)	−0.0017 (0.005)	−0.0022 (0.005)	−0.0023 (0.005)
<i>FLOATING</i>	0.0029 (0.005)	0.0021 (0.005)	0.0034 (0.007)	0.0041 (0.007)	0.0042 (0.007)	0.0045 (0.006)
<i>FUNGIBLE</i>	−0.0066 (0.004)	−0.0073 (0.005)	−0.0123** (0.005)	−0.0115** (0.005)	−0.0123** (0.005)	−0.0112** (0.005)
<i>DOM_LAW</i>	0.0028** (0.001)	0.0024 (0.001)	0.0011 (0.002)	0.0026 (0.003)	0.0013 (0.002)	0.0019 (0.003)
AMG FE	Yes	Yes	Yes	Yes	Yes	Yes
Style FE	Yes	Yes	Yes	Yes	Yes	Yes
Time FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	642,957	642,957	366,129	339,168	362,528	366,129
Adj. R^2	.002	.002	.003	.003	.003	.002

Table 3: funding support in the primary market.

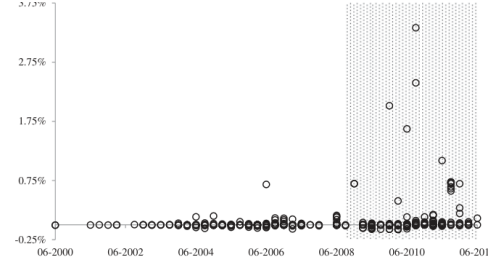


Figure 1: support over time and across issues.

5.3 Tables 4–5: AMG-level magnitude and support margin

Read:

- Table 4 shows large AMG-level support, especially post-Lehman.
- Table 5 shows support mainly occurs through the extensive margin.

Economic message. The key action is pulling affiliated funds into the issue.

Table 4
Funding support in the primary market: Aggregation at AMG level

	(1)	(2)	(3)	(4)	(5)	(6)
	Full sample		Issuer-affiliated funds only			
		Post-Lehman	Post-Lehman	Eurosystem borrowing	NPL ratio	Rating change
<i>AFF</i>	2.8514** (1.441)	−0.5670** (0.269)	−0.5330** (0.226)	2.8976* (1.540)	−0.1308 (0.668)	2.7124** (1.377)
<i>AFF</i> × <i>STRESS</i>		7.5854** (3.613)	7.3867** (3.305)	1.7454** (0.827)	1.1858* (0.668)	1.7947* (1.048)
<i>STRESS</i>				−0.0031 (0.039)	−0.2001** (0.093)	−0.0951 (0.182)
Control variables	Yes	Yes	Yes	Yes	Yes	Yes
AMG FE	Yes	Yes	Yes	Yes	Yes	Yes
Style FE	Yes	Yes	Yes	Yes	Yes	Yes
Time FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	40,078	40,078	12,222	11,228	12,128	12,222
Adj. R^2	.018	.040	.076	.088	.089	.077

Table 4: AMG-level support.

Table 5
Funding support in the primary market: Extensive versus intensive margin

	(1)	(2)	(3)
	Full sample		
	Baseline	Extensive Margin	Intensive Margin
<i>AFF</i>	−0.0018 (0.002)	−0.0005 (0.003)	0.0667 (0.275)
<i>AFF</i> × <i>POST</i>	0.0952*** (0.034)	0.0293*** (0.005)	0.1351 (0.566)
Control variables	Yes	Yes	Yes
AMG FE	Yes	Yes	Yes
Style FE	Yes	Yes	Yes
Time FE	Yes	Yes	Yes
Observations	642,957	642,957	9,292
Adj. R^2	.002	.016	.201

Table 5: extensive versus intensive margin.

5.4 Tables 6–8: security type, secondary market, and investor cost

Read:

- Table 6 shows support in both senior and subordinated bonds, especially subordinated debt post-Lehman.
- Table 7 finds little evidence of secondary-market price support.
- Table 8 shows affiliated participation is associated with lower abnormal returns after issuance.

Economic message. The conflict is about direct funding at issuance, and the cost is borne by fund investors.

Table 6
Funding support in the primary market: Senior versus subordinated bonds

	(1)	(2)	(3)	(4)	(5)	(6)
	Full sample					
	Baseline	Senior bonds	Subord. bonds	Baseline	Senior bonds	Subord. bonds
<i>AFF</i>	0.0418** (0.019)	0.0224** (0.009)	0.0601* (0.036)	−0.0018 (0.002)	−0.0022 (0.002)	−0.0036 (0.006)
<i>AFF</i> × <i>POST</i>				0.0952*** (0.034)	0.0524*** (0.018)	0.1440** (0.073)
Control variables	Yes	Yes	Yes	Yes	Yes	Yes
AMG FE	Yes	Yes	Yes	Yes	Yes	Yes
Style FE	Yes	Yes	Yes	Yes	Yes	Yes
Time FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	642,957	346,101	296,856	642,957	346,101	296,856
Adj. R^2	.002	.002	.002	.002	.002	.002

Table 6: senior versus subordinated.

Table 7
Funding support in the secondary market

	(1)	(2)	(3)	(4)	(5)	(6)
	Full sample			Issuer-affiliated funds only		
		Post-Lehman	Post-Lehman	Eurosystem borrowing	NPL ratio	Rating change
<i>AFF</i>	0.0001 (0.000)	−0.0004* (0.000)	−0.0005 (0.000)	0.0002 (0.000)	−0.0004 (0.001)	−0.0003 (0.000)
<i>AFF</i> × <i>STRESS</i>		0.0009 (0.001)	0.0011 (0.001)	0.0002 (0.000)	0.0002 (0.000)	0.0010 (0.001)
<i>STRESS</i>				0.0000 (0.000)	0.0005 (0.000)	−0.0027 (0.002)
Control variables	Yes	Yes	Yes	Yes	Yes	Yes
AMG FE	Yes	Yes	Yes	Yes	Yes	Yes
Style FE	Yes	Yes	Yes	Yes	Yes	Yes
Time FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	942,901	942,901	525,758	505,715	518,563	546,800
Adj. R^2	.000	.000	.000	.000	.000	.000

Table 7: secondary-market test.

Table 8
Post-issuance abnormal returns

	(1)	(2)	(3)	(4)	(5)	(6)
	1-day abnormal return		1-week abnormal return		1-month abnormal return	
<i>AFF_PURCHASE</i>	−0.2929*** (0.068)	−0.0941 (0.054)	−0.3256*** (0.086)	0.0219 (0.132)	−0.4426** (0.179)	−0.0614 (0.146)
<i>POST</i>		−0.0473 (0.089)		0.0574 (0.135)		0.1199 (0.300)
<i>POST</i> × <i>AFF_PURCHASE</i>		−0.2547** (0.095)		−0.5039** (0.189)		−0.6042 (0.403)
Estimated abnormal return in crisis times		−0.3761***		−0.4246**		−0.5257**
Issuer FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	187	187	187	187	187	187
Adj. R^2	.028	.031	.020	.031	.017	.018

This table presents the coefficient estimates from the following linear regression:

$$AR_{i,b,t} = \alpha_0 + \alpha_1 AFF_PURCHASE_{i,b,t} + \alpha_2 POST_t + \alpha_3 POST_t \times AFF_PURCHASE_{i,b,t} + \epsilon_{i,b,t}$$

where $AR_{i,b,t}$ denotes the abnormal return (in percentage points) on bond i from issuer b on the issuance date (Columns 1 and 2), the cumulative abnormal return during the bond's first week after issuance (Columns 3 and 4), or the cumulative abnormal return during the bond's first month after issuance (Columns 5 and 6). Abnormal returns are computed relative to other Spanish banks bonds from the same maturity and ratings category. See Section 4 for details. $AFF_PURCHASE_{i,b,t}$ is a dummy variable equal to one if at least one mutual fund affiliated with the issuer of bond i has purchased the bond in the primary market, and zero otherwise. $POST_t$ is defined as a dummy that takes the value of one in the period after the Lehman bankruptcy (i.e., starting in 2008:Q3), and zero otherwise. The row "Estimated abnormal returns in crisis times" gives the estimated abnormal returns in crisis times for bonds purchased by affiliated funds, that is, the fitted values for $AFF_PURCHASE_{i,b,t} = 1$ and $POST_t = 1$, respectively. All regressions include issuer fixed effects, and standard errors, clustered at the issuer level, are given in parentheses. * $p < .1$; ** $p < .05$; *** $p < .01$.

Table 8: post-issuance abnormal returns.

5.5 Tables 9–11: fund allocation and credit supply

Read:

- Table 9 shows retail fund flows are less sensitive to performance.
- Table 10 shows more support from retail funds and less support from funds with performance fees.
- Table 11 links mutual funding to higher bank-firm credit growth.

Economic message. Banks allocate support to funds where underperformance is less costly, and support may mitigate credit contraction.

Table 9
Flow-performance relationship

	(1)	(2)
	Performance over 3M Treasury bill	
<i>PERF</i>	0.3798*** (0.059)	0.5476*** (0.082)
<i>PERF</i> $\times$ <i>RETAIL</i>		-0.3005*** (0.088)
<i>RETAIL</i>	-0.3666 (0.322)	-0.4355 (0.325)
<i>PERF</i> + <i>PERF</i> $\times$ <i>RETAIL</i>		0.247*** (0.053)
Control variables	Yes	Yes
AMG FE	Yes	Yes
Style FE	Yes	Yes
Time FE	Yes	Yes
Observations	51,200	51,200
Adj. R^2	.085	.086

Table 9: flow-performance relationship.

Table 10
Funding support in the primary market and the role fund characteristics

	(1)	(2)
<i>AFF</i>	0.0413*** (0.015)	0.0438** (0.020)
<i>RETAIL</i>	-0.0019 (0.001)	
<i>AFF</i> $\times$ <i>RETAIL</i>	0.0362** (0.018)	
<i>PERF_FEES</i>		-0.0036* (0.002)
<i>AFF</i> $\times$ <i>PERF_FEES</i>		-0.0394* (0.021)
Control variables	Yes	Yes
AMG FE	Yes	Yes
Style FE	Yes	Yes
Time FE	Yes	Yes
Observations	642,957	642,957
Adj. R^2	.002	.002

Table 10: fund characteristics and support.

Table 11
Mutual funding and credit supply

	(1) MF_bonds / TA	(2) MF_bonds / Eq	(3) MF_bonds / AUM	(4) log (1+MF_bonds)
<i>AP</i>	50.0857*** (5.948)	2.3463*** (0.294)	2.4626*** (0.263)	0.0386*** (0.002)
Bank characteristics	Yes	Yes	Yes	Yes
Firm FE	Yes	Yes	Yes	Yes
Observations	864,563	864,563	864,563	864,563
Adj. R^2	.253	.253	.253	.254

Table 11: mutual funding and credit supply.

6 Short summary

- The paper studies a conflict of interest inside financial conglomerates: bank-controlled mutual funds can buy parent-bank debt.
- Affiliated funds buy more parent-bank bond issues in the primary market, especially after Lehman and for stressed banks.
- Mutual funding is economically large and mainly operates through the extensive margin.
- Bonds with affiliated fund participation have lower abnormal returns, indicating investor harm.
- Banks allocate support to retail funds and funds without performance fees.
- Mutual funding is associated with higher credit growth, suggesting possible stabilization benefits.

7 Conclusion

7.1 Core conclusion

Gil-Bazo, Hoffmann, and Mayordomo document a novel conflict of interest in financial conglomerates. Bank-affiliated mutual funds provide funding support to their parent banks by buying parent-bank debt in the primary market.

7.2 Economic intuition

Mutual funds under bank control are a captive investor base. In crisis times, the parent bank's need for funding rises, so it has stronger incentives to place bonds with affiliated funds, especially funds whose investors are less likely to punish poor performance.

7.3 Takeaway

Asset-management arms can act as hidden funding channels for parent banks. This channel may help banks continue lending during crises, but it transfers value from fund investors to banks.